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CASE #	CASE NAME	HEARING NAME
CVRI2507438	LANTERO COONCE vs FCA US LLC	DEMURRER ON COMPLAINT
CVRI2507438	LANTERO COONCE vs FCA US LLC	MOTION TO STRIKE COMPLAINT

Tentative Ruling: Defendants have failed to satisfy their statutory obligation to meet and confer in person or by telephone in accordance with C.C.P. §§ 430.41(a) and 435.5(a). Nonetheless, Defendants FCA US, LLC and DCH Chrysler Dodge Jeep Ram Fiat of Temecula's Demurrer is overruled; the Motion to Strike is denied.

Pursuant to C.C.P. §§ 430.41(a) and 435.5(a), before filing a demurrer, the moving party must meet and confer in good faith with the plaintiff via phone or in person. Here, Defendants' counsel states that she sent one letter to Plaintiff's counsel regarding the demurrer, and Plaintiff's counsel did not reply. (See, Decl. of Erica Park at ¶¶ 2-3, Ex. B.) There is no evidence that defense counsel called Plaintiff's counsel to discuss the merits of the demurrer/motion, or even followed up on the email sent. C.C.P. §§ 430.41(a) and 435.5(a) very clearly require that parties meet and confer by telephone or in person, regardless of the prospects of an informal resolution, and based on the evidence presented, Defendants did not do this.

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P. § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Kattelman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

A special demurrer lies where a pleading is uncertain, ambiguous and unintelligible. (CCP § 430.10(f).) Demurrers for uncertainty, however, are typically sustained only where the defendant cannot reasonably determine what issues must be admitted or denied, or what claims are directed against him. (*Khoury v. Maly's of California, Inc.* (1993) 14 Cal.App.4th 612, 616.)

Uncertainty

While Defendants specially demur to the Complaint on the ground of uncertainty under C.C.P. § 430.10(f), they fail to explain how any of the claims are uncertain such that they cannot reasonably determine what issues must be admitted or denied, or what

claims are directed against them. (*Khoury, supra*, 14 Cal.App.4th 612, 616.) Accordingly, the demurrer is overruled on grounds of uncertainty.

Sufficiency of Pleadings

Defendants argue that none of the causes of action are sufficiently stated because they are based solely on conclusions. (Demurrer, pp. 10:12-11:28.) However, while a complaint must contain “a statement of the facts constituting the cause of action, in ordinary and concise language” to withstand a demurrer [C.C.P. § 425.10], the rules of pleading only require ultimate facts to be alleged; evidentiary facts supporting the allegation of ultimate fact need not be pleaded. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872; *McKelly v. Washington Mut., Inc.* (2006) 142 Cal.App.4th 1457, 1469.) “Ultimate facts” are those “facts” upon which liability depends, i.e., “the facts constituting the cause of action.” (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550). The distinction between “ultimate facts” and “conclusions” depends on whether the pleading gives adequate notice of the claims to be presented. (*Estate of Lind* (1989) 209 Cal.App.3d 1424, 1434.) Generally, a plaintiff need only plead facts necessary “to acquaint a defendant with the nature, source and extent of his claims.” (*Doe, supra*, 42 Cal.4th at 549-550; see also, *Estate of Lind* (1989) 209 Cal.App.3d 1424, 1434.)

In the present case, Plaintiff alleges: she purchased the Vehicle, on which FCA provided express and implied warranties; the Vehicle exhibited defects to the engine, transmission, and electrical systems within the warranty period, and those defects substantially impaired the use, value, and/or safety of the Vehicle; she presented the Vehicle to FCA’s authorized representative, but Defendants were unable to service or repair the Vehicle to conform to the warranties after a reasonable number of repair attempts; FCA failed to make sufficient service literature and replacement parts available to its authorized service and repair facilities to effect repairs during the express warranty period; DCH failed to use reasonable care in making repairs to the Vehicle; and FCA failed to replace the Vehicle or provide restitution as required. (Complaint at ¶¶ 7-9, 12-13, 29, 41, 47, 52, 62.)

“A plaintiff pursuing an action under the [Song Beverly] Act has the burden to prove that (1) the vehicle had a nonconformity covered by the express warranty that substantially impaired the use, value or safety of the vehicle (the nonconformity element); (2) the vehicle was presented to an authorized representative of the manufacturer of the vehicle for repair (the presentation element); and (3) the manufacturer or his representative did not repair the nonconformity after a reasonable number of repair attempts (the failure to repair element).” (*Oregel v. American Isuzu Motors, Inc.* (2001) 90 Cal.App.4th 1094, 1101.) Plaintiff’s allegations are sufficient to provide Defendants with notice of the nature and extent of her claims.

STATUTE OF LIMITATIONS

FCA next argues that the fraudulent concealment cause of action is barred by the statute of limitations. A demurrer based on a statute of limitations defense must clearly and affirmatively show that the claim is barred. (*Lockley v. Law Office of Cantrell,*

Green, Kekich, Cruz & McCort (2001) 91 Cal.App.4th 875, 881.) “It is not sufficient that the complaint might be barred.” (*Roman v. County of Los Angeles* (2000) 85 Cal.App.4th 316, 324.)

Fraud is subject to a 3-year statute of limitations from the date of discovery. (C.C.P. §338(d).) “The discovery rule provides that the accrual date of a cause of action is delayed until the plaintiff is aware of her injury and its negligent cause.” (*Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 1103, 1109.) “A plaintiff is held to her actual knowledge as well as knowledge that could reasonably be discovered through investigation of sources open to her.” (*Ibid.*)

FCA argues the fraud claim is barred because it was brought more than three years after Plaintiff purchased the Vehicle. FCA conflates purchase with date of discovery. The fact that the defect(s) may have existed at the time of the sale does not mean that Plaintiff was aware of such fact. To the contrary, Plaintiff alleges that Defendant concealed the defects and blamed their symptoms on other issues, and she did not discover Defendant’s wrongful conduct until the Vehicle continued to exhibit symptoms of the defects following Defendant’s unsuccessful attempts to repair them. (FAC at ¶¶ 26-27, 37-38.) These allegations are sufficient for pleading purposes to show that the fraudulent concealment cause of action is not barred by the statute of limitations.

FRAUDULENT CONCEALMENT

The elements of a cause of action for fraud based on concealment are:

(1) The defendant must have concealed or suppressed a material fact; (2) the defendant must have been under a duty to disclose the fact to the plaintiff; (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff; (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact; and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage. (*Kaldenbach v. Mutual of Omaha Life Ins. Co.* (2009) 178 Cal.App.4th 830, 850, internal quotation marks omitted.)

Duty to Disclose

FCA first argues that Plaintiff’s fraudulent concealment cause of action fails because Plaintiff fails to adequately allege a duty by it to disclose.

To maintain a cause of action for fraud through nondisclosure or concealment of facts, there must be allegations demonstrating that the defendant was under a legal duty to disclose those facts. (*Los Angeles Memorial Coliseum Commission v. Insomniac, Inc.* (2015) 233 Cal.App.4th 803, 831.) There are four circumstances giving rise to a duty to disclose: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant has exclusive knowledge of material facts not known to plaintiff; (3) when defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336, internal quotations omitted.)

Plaintiff alleges that FCA had knowledge about the defects in the Vehicle that was not available to Plaintiff and/or the public and concealed that information from Plaintiff. (Complaint at ¶¶ 16-27, 66-67.) As FCA points out, failure to disclose material facts that are under the exclusive knowledge of one party and not the other is ordinarily not actionable fraud without a direct transactional relationship between the parties. (See, *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311.) Here, however, the Complaint sufficiently alleges that Plaintiff entered into a warranty contract with FCA, suggesting a contractual relationship. (Complaint at ¶¶ 7-8.) “A duty to disclose supporting fraud liability for...concealment may arise from the relationship between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement.” (*Los Angeles Memorial Coliseum Commission v. Insomniac, Inc.*, *supra*, 233 Cal.App.4th at 831.) Therefore, for pleading purposes, Plaintiff has sufficiently alleged FCA’s duty to disclose.

Fraud Is Alleged with the Necessary Specificity

FCA also argues that fraud is not alleged with the requisite specificity. “Concealment is a species of fraud, and fraud must be pleaded with specificity...” (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 878 [internal quotation marks omitted].) But under California’s liberal pleading rules, “[l]ess particularity is required when it appears that defendant has superior knowledge of the facts, so long as the pleading gives notice of the issues sufficient to enable preparation of a defense.” (*Pointe Sand Diego Res. Com., L.P. v. Procopio, Cory, Hargreaves & Savitch, LLP* (2011) 195 Cal.App.4th 265, 278, citing *Okun v. Superior Court* (1981) 29 Cal.3d 442, 458.) Furthermore, as noted by one court, it is not practical to allege facts showing how, when, and by what means something did not happen. (*Alfaro v. Community Housing Improvement System Planning Assn.* (2009) 171 Cal.App.4th 1356, 1384.)

Here, Plaintiffs allege that Defendant knew about the defects in the Vehicle, and obtained this knowledge from sources not available to the public, such as pre-production testing and data analysis, as well as testing done in response to early complaints about such defects. (FAC at ¶¶ 16-27.) This is sufficient to show, for pleading purposes, that FCA has superior knowledge of the transmission defects and other facts relevant to the claim for fraud.

Also, in light of the decision in *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, Plaintiff appears to have met the specificity requirement for fraud. In *Dhital*, the court held that the fraud claim in the complaint was pleaded with the requisite specificity by alleging (1) there were transmission defects and the manufacturer knew of the defects and hazards they posed; (2) the manufacturer had exclusive knowledge of the defects but intentionally concealed and failed to disclose the information; (3) the manufacturer intended to deceive plaintiffs by concealing known transmission problems; (4) the plaintiffs would not have purchased the car had they known of the defect; and (5) the plaintiffs suffered damages in the form of money paid to purchase the car. (*Dhital*, *supra*, 84 Cal.App.5th at 843.) To support their claim, the plaintiffs in *Dhital* specifically alleged they entered into a warranty contract with Nissan, thereby creating the transactional relationship; the transmissions at issue were defective and caused

problems such as hesitation, shaking, jerking, and failing to function; and that Nissan was aware of these defects through data taken from premarket testing and prior consumer complaints. (*Ibid.*) These allegations are virtually identical to those set forth in the Complaint, as outlined above. (See, Complaint at ¶¶ 16-27.)

In addition, Plaintiffs herein allege that they would not have purchased the Vehicle had they known about the defects in it; they suffered damages in the form of money paid to purchase the car; and they are seeking restitution as a form of remedy under the Song-Beverly Act. (Complaint at ¶¶ 24, 35, 42, 48, 52, 58, 69, 71, Prayer, b.) This is sufficient for the final two elements. (See, *Dhital, supra*, 84 Cal.App.5th at 843; *cf. Engalla v. Permanente Med. Group, Inc.* (1997) 15 Cal.4th 951, 979 [a defrauded party seeking only rescission need not show pecuniary damages].) Therefore, Plaintiff has sufficiently alleged the elements of concealment, and the demurrer should be overruled.

MOTION TO STRIKE

The court may, upon a motion made pursuant to C.C.P. section 435:

- (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.
- (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.

(C.C.P. § 436.)

On a motion to strike, as with a demurrer, the court reads the allegations of the complaint as a whole, and accepts the facts alleged as true. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) A motion to strike is the proper vehicle to attack a punitive damages claim where the facts alleged do not rise to the level of fraud, malice or oppression. (C.C.P. §§ 435-436; *Turman v. Turning Point of Central Calif., Inc.* (2010) 191 Cal.App.4th 53, 63.) If the defect in the pleading is correctible, leave to amend should be granted. (*Grieves v. Superior Court*, 157 Cal.App.3d 159, 168.) FCA here moves to strike Plaintiff's claim for punitive damages. To support a demand for punitive damages, a plaintiff must plead and prove facts demonstrating malice, oppression, or fraud as defined in *Civil Code* section 3294(c). As defined in the statute, malice is "conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others," while oppression is defined as "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civ. Code § 3294(c)(1)-(2).) Despicable conduct is conduct that is base, vile or contemptible. (*College Hospital, Inc. v. Superior Court* (1994) 8 Cal.4th 704, 725.) A properly pleaded fraud claim will itself support recovery of punitive damages. No allegations of "malice" or intent to injure plaintiff are required, because fraud is an alternative basis for recovery (i.e., "oppression, fraud or malice"). (*Stevens v. Sup. Ct. (St. Francis Med. Ctr.)* (1986) 180 Cal.App.3d 605, 610).

While claims under the Song-Beverly Act do not support both a civil penalty and punitive damages [*Troensegaard v. Silvercrest Indus.* (1985) 175 Cal.App.3d 218, 226-228], punitive damages are available for fraud claims despite the fact that there is a Song-Beverly claim. (*Anderson v. Ford Motor Co.* (2022) 74 Cal.App.5th 946, 971-972.) Since Plaintiff did not actually assert her request for punitive damages in their Song-Beverly claims (it is only referenced in the Prayer), and her fraud claim is sufficiently pled, there is no basis to strike the claim for punitive damages.